

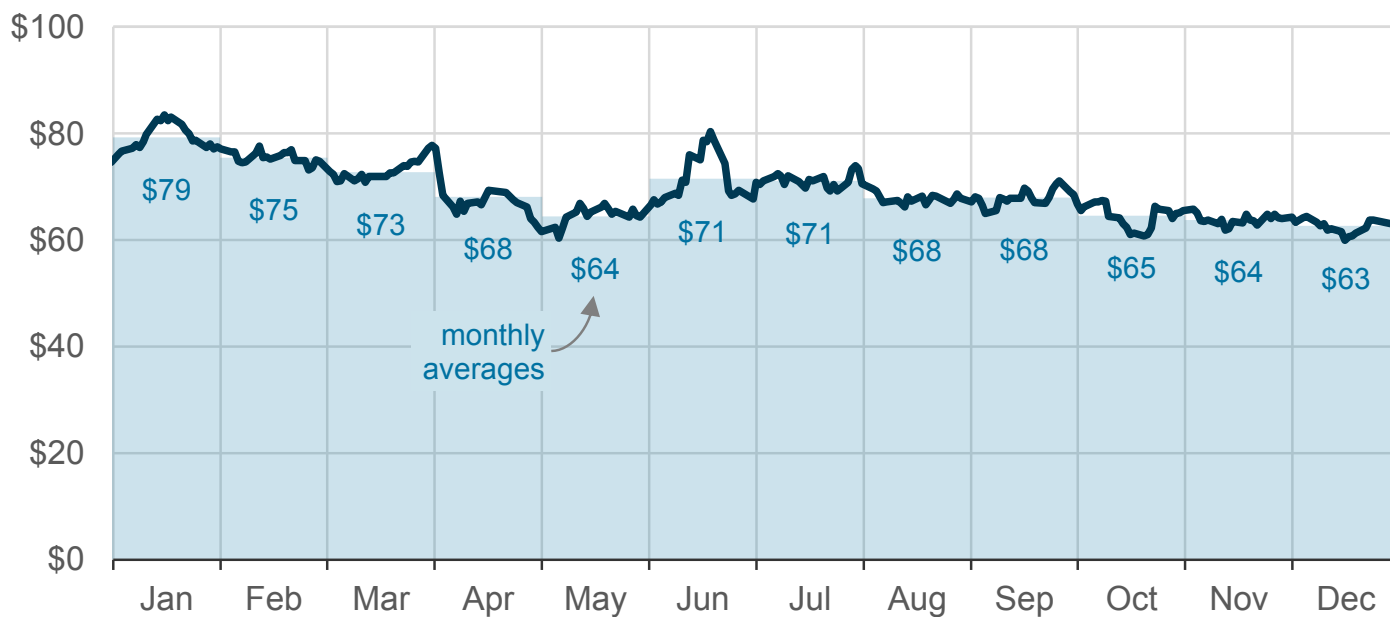
Today in Energy

IN-BRIEF ANALYSIS

January 5, 2026

Crude oil prices fell in 2025 amid oversupply**Daily Brent crude oil spot price (2025)**

dollars per barrel

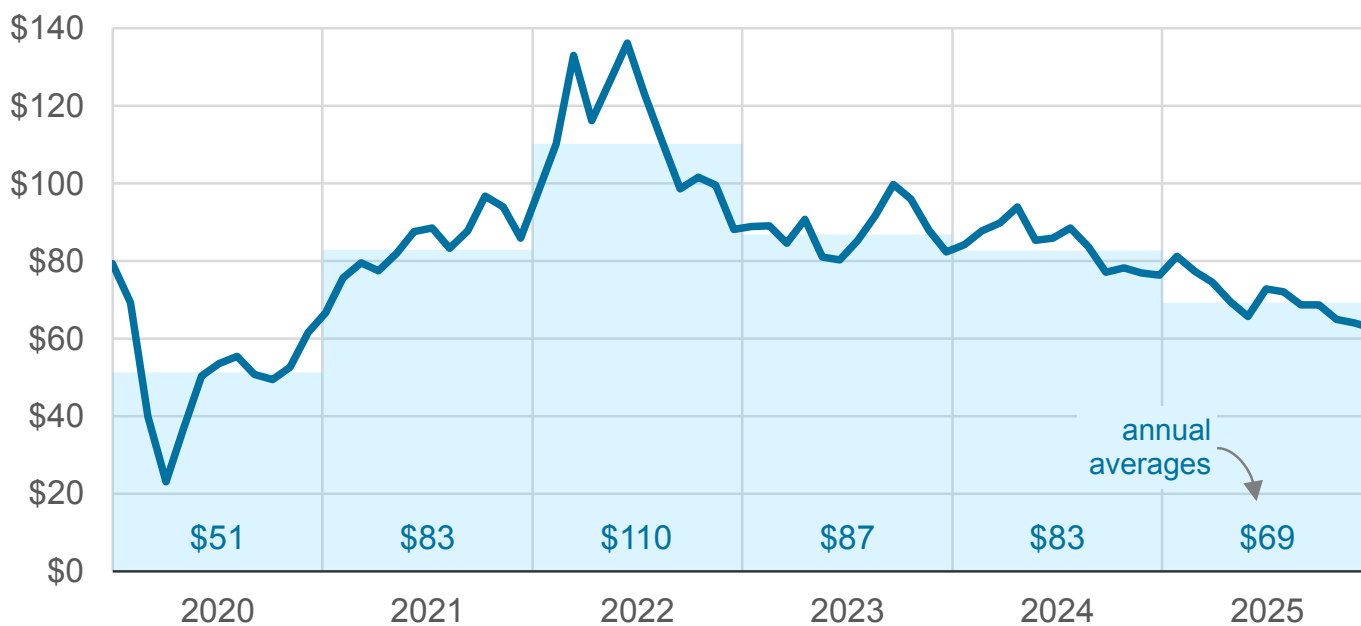
**Data source:** U.S. Energy Information Administration, based on Thomson Reuters data**Data values:** [Europe Brent Spot Price FOB](#) (free on board)

Crude oil prices generally declined in 2025 with supplies in the global crude oil market exceeding demand. Crude oil inventory builds in China muted some of the price decline. Events such as Israel's [June 13 strikes on Iran](#) and [attacks between Russia and Ukraine](#) targeting oil infrastructure periodically supported prices.

On a monthly average basis, the price of Brent crude oil declined from a high of \$79 per barrel (b) in January to a low of \$63/b in December, which was the lowest monthly average price since early 2021. The annual average price was \$69/b, the lowest since 2020, even when adjusting for inflation.

Monthly Brent crude oil spot price (2020–2025)

real 2025 dollars per barrel

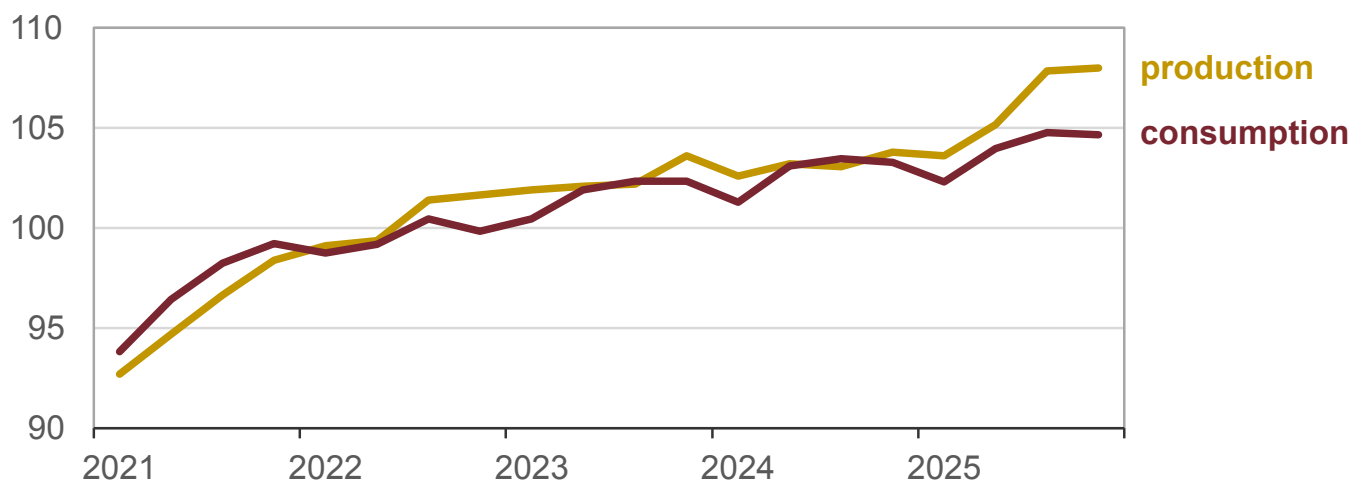
**Data source:** U.S. Energy Information Administration, based on Thomson Reuters data**Data values:** [Europe Brent Spot Price FOB](#) adjusted for inflation using the [GDP Implicit Price Deflator](#)

In the first half of the year, crude oil prices declined in response to slowing economic activity, which can affect global oil demand. Prices decreased in the first quarter (1Q25) with a contraction in U.S. GDP, and prices fell nearly \$15/b further in April amid expectations that escalating tariffs among large economies could continue to slow economic growth.

In the second half of the year, [OPEC+ announcements](#) that increased crude oil production targets for the group increased the prospect of an oversupplied market. In our most recent [Short-Term Energy Outlook](#), we estimate that global production of crude oil and liquid fuels outpaced consumption throughout 2025, with implied stock builds of more than 2.5 million barrels per day in the final two quarters of the year. These stock builds were the largest recorded since 2000, aside from in 2020.

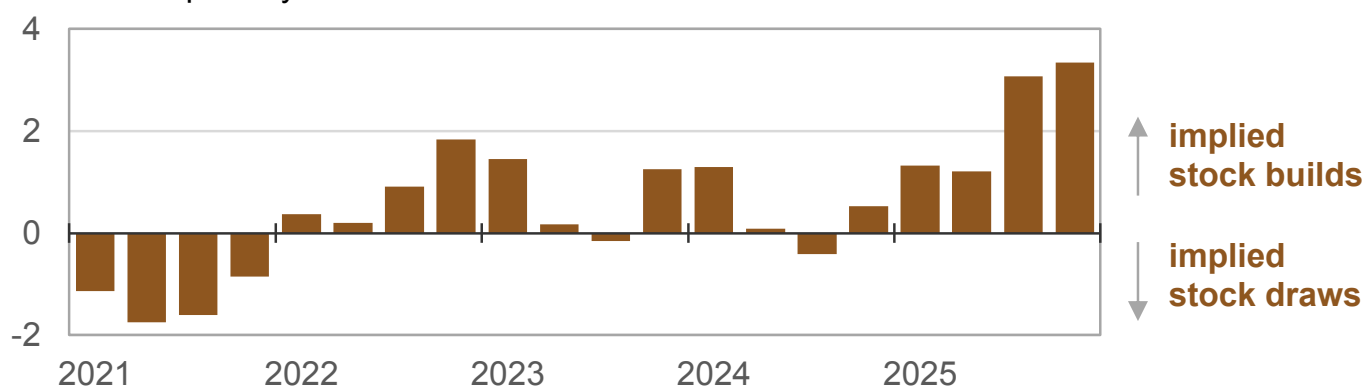
Quarterly world petroleum production and consumption (2021–2025)

million barrels per day



Quarterly world petroleum stock change (2021–2025)

million barrels per day



Data source: U.S. Energy Information Administration, [Short-Term Energy Outlook](#), December 2025

Data values: [International Petroleum and Other Liquids Production, Consumption, and Inventories](#)

Generally, crude oil prices tend to decrease as global petroleum stocks increase. However, [crude oil inventory builds in China](#) likely limited price declines from the stock builds, essentially acting as a source of demand by removing barrels from the global market.

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